

including the ability to take loans. However, they are less expensive to administer.

If you do any freelance or contract work, consider opening a Solo 401(k) plan. In addition to your “salary deferral” contributions, you can give yourself a profit-sharing contribution of up to 25 percent of compensation. In other words, you can contribute the same amount as you would to a SEP, and then some.

Other Retirement Plans

Nonqualified plans and other retirement benefit plans may be available to you if your skills are in high demand or if your employer is creative. For example, DB(k) plans provide a small pension-like guaranteed income stream, along with the ability to save money as you do in a 401(k). Other plans might promise you a lump-sum payout every ten years or so.